

REC Ltd (RECLTD)

ROE	22.2%
ROCE	10.0%
CFO Quality	Accrual Risk
Capital Allocation	Growth Funded by Debt

Strengths

- Consistently high return on equity above 20% demonstrates exceptional capital efficiency.
- Operating profit margin above 25% indicates strong pricing power and cost discipline.
- Net profit compounding at above 20% over 5 years creates significant shareholder value.
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding.
- Revenue growing slower than profits shows improving operating leverage and scale benefits.

Risks

- Debt-to-equity ratio of 6.42 is elevated and warrants monitoring.
- Free cash flow negative for 3 consecutive years raises concern about cash generation quality.